MECHANICAL SUBCONTRACT AGREEMENT

This Mechanical Subcontract Agreement (the "Subcontract") is made and entered into as of March 10, 2025, by and between Harbor Point Construction, Inc., a California corporation, California Contractor's License No. 917455 (Class B), with its principal office at 2240 Harbor Point Drive, Suite 300, West Sacramento, California 95691 ("Contractor"), and Delta Mechanical Systems, LLC, a California limited liability company, California Contractor's License No. 1048372 (Classes C-20 and C-36), Department of Industrial Relations Public Works Contractor Registration No. 1000071234, with its principal office at 8815 Folsom Boulevard, Unit B, Sacramento, California 95826 ("Subcontractor").

Recitals. Contractor has entered into a prime contract dated January 21, 2025 (the "Prime Contract") with Sacramento Unified School District ("Owner") for construction of the project known as Rosemont Elementary Modernization, located at 9594 Mormon Street, Sacramento, California 95827 (the "Project"). The Project is subject to review and approval by the Division of the State Architect ("DSA") under DSA Application No. 02-121884. Under the Prime Contract, Owner withholds five percent (5%) retention from Contractor on each progress payment. Contractor desires to subcontract a portion of the work under the Prime Contract to Subcontractor, and Subcontractor desires to perform that work, on the terms stated below.

In consideration of the mutual promises in this Subcontract, the parties agree as follows.

ARTICLE 1 — DEFINITIONS

1.1 "Subcontract Work" means all labor, materials, equipment, tools, supervision, transportation, permits not furnished by Owner, testing, and services required to complete the work described in Article 3, and all work reasonably inferable from the Subcontract Documents as necessary to produce the intended result.

1.2 "Subcontract Documents" means this Subcontract, the Prime Contract (including its general, supplementary, and special conditions), the drawings and specifications listed in Article 2, all addenda issued before the date of this Subcontract, and all modifications issued after the date of this Subcontract.

1.3 "Final Completion of the Subcontract Work" means the date on which all Subcontract Work, including punch list items, testing and balancing, commissioning activities, operation and maintenance manuals, training, warranties, and record drawings, has been completed and accepted by Contractor, the Architect, and the DSA Inspector of Record.

1.4 "Architect" means Larkspur Valley Architects, Inc., or any successor designated by Owner.

1.5 "Inspector of Record" means the DSA-certified project inspector engaged by Owner for the Project.

1.6 Capitalized terms used but not defined in this Subcontract have the meanings given in the Prime Contract.

ARTICLE 2 — SUBCONTRACT DOCUMENTS

2.1 The Subcontract Documents form the entire agreement between Contractor and Subcontractor. A copy of the Prime Contract has been made available to Subcontractor, and Subcontractor acknowledges that it has reviewed the Prime Contract before signing this Subcontract.

2.2 The drawings and specifications for the Subcontract Work are those prepared by the Architect and its consultants, dated November 14, 2024, as revised by Addenda 1 through 4, including without limitation Drawing Sheets M-001 through M-512 and P-001 through P-404.

2.3 To the extent the provisions of the Prime Contract apply to the Subcontract Work, Subcontractor assumes toward Contractor all obligations and responsibilities that Contractor assumes toward Owner under the Prime Contract. Contractor has the same rights and remedies against Subcontractor that Owner has against Contractor.

2.4 If a conflict exists among the Subcontract Documents, the provision imposing the higher standard of performance, greater quantity, or more stringent requirement governs, unless Contractor directs otherwise in writing.

ARTICLE 3 — SCOPE OF SUBCONTRACT WORK

3.1 Subcontractor shall furnish and install complete heating, ventilating, air conditioning, and plumbing systems for the Project as shown and specified, including the work described in the following specification sections:

(a) Section 22 05 00, Common Work Results for Plumbing; (b) Section 22 11 16, Domestic Water Piping; (c) Section 22 13 16, Sanitary Waste and Vent Piping; (d) Section 22 42 00, Commercial Plumbing Fixtures; (e) Section 23 05 00, Common Work Results for HVAC; (f) Section 23 05 48, Vibration and Seismic Controls for HVAC; (g) Section 23 05 93, Testing, Adjusting, and Balancing; (h) Section 23 07 13, Duct Insulation; (i) Section 23 09 23, Direct Digital Control System for HVAC; (j) Section 23 31 13, Metal Ducts; (k) Section 23 74 13, Packaged Rooftop Air-Conditioning Units.

3.2 The Subcontract Work includes removal and legal disposal of existing mechanical and plumbing equipment, ductwork, and piping within Buildings A, B, and C as shown on the demolition drawings, except refrigerant recovery, which Subcontractor shall perform under its own EPA certification.

3.3 The Subcontract Work excludes structural roof framing for rooftop unit curbs, line-voltage power wiring to equipment, fire sprinkler systems, and asbestos or lead abatement, all of which are furnished by others.

3.4 Subcontractor shall coordinate the Subcontract Work with all other trades and shall participate in building information model coordination meetings as scheduled by Contractor.

ARTICLE 4 — SUBCONTRACT SUM

4.1 Contractor shall pay Subcontractor for the full and complete performance of the Subcontract Work the sum of Four Hundred Twenty-Eight Thousand Dollars ($428,000.00) (the "Subcontract Sum"), subject to additions and deductions by written change order as provided in this Subcontract.

4.2 The Subcontract Sum includes all applicable taxes, permit fees not paid by Owner, prevailing wages and fringe benefits, insurance premiums, bond premiums, and all costs of every kind necessary to complete the Subcontract Work.

4.3 Within ten (10) days after the date of this Subcontract, Subcontractor shall submit a schedule of values allocating the Subcontract Sum among the principal portions of the Subcontract Work. Once approved by Contractor, the schedule of values attached as the Exhibit to this Subcontract will be used as the basis for progress payment applications.

Fictional contract generated for the Groundwork demo. Not legal advice. No real parties.

ARTICLE 5 — PAYMENT RELEASES AND WAIVERS

5.1 As a condition of each progress payment, Subcontractor shall deliver to Contractor a conditional waiver and release on progress payment covering the amount requested, in the form required by California Civil Code Section 8132, before Contractor releases that payment.

5.2 Within five (5) days after receipt of each progress payment, Subcontractor shall deliver to Contractor an unconditional waiver and release on progress payment, in the form required by California Civil Code Section 8134, covering the amount actually received. With its application for final payment, Subcontractor shall deliver a conditional waiver and release on final payment in the form required by Civil Code Section 8136, and within five (5) days after receipt of final payment, an unconditional waiver and release on final payment in the form required by Civil Code Section 8138.

5.3 All waivers and releases furnished under this Subcontract must be in the statutory form prescribed by California Civil Code Sections 8132 through 8138, and Contractor may reject any waiver or release that departs from the statutory form.

5.4 Subcontractor shall obtain and deliver to Contractor conditional and unconditional waivers and releases from each of its lower-tier subcontractors and material suppliers whose labor or materials are included in a payment application, in the same statutory forms and at the same times required of Subcontractor.

5.5 Subcontractor shall promptly pay all of its lower-tier subcontractors, suppliers, and laborers in accordance with California Business and Professions Code Section 7108.5 and shall cause the release of any stop payment notice or payment bond claim arising from the Subcontract Work within ten (10) days after written demand by Contractor.

ARTICLE 6 — PROGRESS PAYMENTS

6.1 On or before the twentieth (20th) day of each month, Subcontractor shall submit to Contractor an application for payment for Subcontract Work performed through the last day of that month, itemized according to the approved schedule of values and accompanied by certified payroll records, the waivers required by Article 5, and such other supporting documentation as Contractor or Owner may reasonably require.

6.2 Contractor shall include Subcontractor's approved application in Contractor's monthly payment application to Owner. Contractor shall pay Subcontractor the amount approved for the Subcontract Work, less retention under Article 7 and any amounts withheld under Article 9, within seven (7) days after Contractor receives payment from Owner for that Subcontract Work.

6.3 The parties have agreed in writing, by this Subcontract, that Contractor's payment to Subcontractor is due on a pay-when-paid basis, meaning the timing of each payment to Subcontractor is tied to Contractor's receipt of the corresponding payment from Owner. This provision governs the timing of payment only.

6.4 Contractor will make no payment for materials or equipment stored on site or off site that have not been incorporated into the Project, and Subcontractor shall not include stored materials in any application for payment.

6.5 No payment made by Contractor constitutes acceptance of defective or nonconforming Subcontract Work.

6.6 Final payment of the Subcontract Sum, other than retention, will be made as part of the final progress payment after Subcontractor has completed all Subcontract Work and furnished the closeout documents required by Section 1.3.

ARTICLE 7 — RETENTION

7.1 Contractor shall withhold retention of ten percent (10%) from each progress payment otherwise due to Subcontractor under this Subcontract.

7.2 Retention withheld under this Article will be held by Contractor as security for Subcontractor's full performance of the Subcontract Work and its obligations under this Subcontract.

7.3 Contractor shall release retention to Subcontractor within ten (10) days after both of the following have occurred: (a) Final Completion of the Subcontract Work, and (b) Contractor's receipt of retention from Owner for the Subcontract Work.

7.4 Before release of retention, Subcontractor shall furnish a conditional waiver and release on final payment as described in Article 5, together with final lower-tier waivers, the warranty documents required by Article 13, and evidence that all certified payroll records have been submitted.

7.5 Contractor may apply retention to any amount owed by Subcontractor to Contractor under this Subcontract, including amounts described in Article 9.

ARTICLE 8 — TIME AND SCHEDULE

8.1 Subcontractor shall commence the Subcontract Work within five (5) working days after written notice to proceed from Contractor and shall perform the Subcontract Work in accordance with Contractor's project schedule as updated from time to time.

8.2 The Project is an occupied school campus. Subcontractor shall perform noisy, disruptive, or hazardous work only during periods approved in writing by Contractor and Owner, including summer recess from June 9, 2025 through August 8, 2025.

8.3 Time is of the essence in the performance of this Subcontract. If Subcontractor fails to maintain the schedule, Subcontractor shall, at its own expense, furnish additional labor, work overtime, or take such other measures as necessary to recover lost time.

8.4 If Owner assesses liquidated damages against Contractor under the Prime Contract for delay caused in whole or part by Subcontractor, Subcontractor shall be liable to Contractor for the portion of those damages attributable to Subcontractor's delay.

8.5 Subcontractor shall give written notice of any claim for an extension of time within seven (7) days after the occurrence of the event giving rise to the claim. Subcontractor's sole remedy for delay not caused by Subcontractor is an extension of time, except to the extent Contractor recovers delay damages from Owner on Subcontractor's behalf.

ARTICLE 9 — BACKCHARGES, SETOFF, AND WITHHOLDING

9.1 Contractor may set off against any payment due to Subcontractor under this Subcontract the amount of any backcharge for costs incurred by Contractor because of Subcontractor's failure to perform, including cleanup, damage repair, supplemental labor, and supervision, after giving Subcontractor written notice and forty-eight (48) hours to cure where practicable.

9.2 Contractor may withhold from any payment an amount sufficient to correct defective or nonconforming Subcontract Work until that Subcontract Work has been corrected to the satisfaction of Contractor, the Architect, and the Inspector of Record.

9.3 Contractor may also withhold amounts reasonably necessary to protect Contractor against (a) stop payment notices or payment bond claims arising from the Subcontract Work, (b) penalties assessed by the Labor Commissioner on account of Subcontractor's prevailing wage violations, and (c) Subcontractor's failure to furnish certified payroll records or required waivers.

9.4 Contractor shall provide Subcontractor with a written statement identifying the amount withheld and the reason for the withholding. Amounts withheld will be paid to Subcontractor promptly after the reason for withholding has been resolved, in accordance with Article 6.

ARTICLE 10 — CHANGES IN THE WORK

10.1 Contractor may, without invalidating this Subcontract, direct changes in the Subcontract Work consisting of additions, deletions, or modifications. Every change must be authorized by a written change order or written construction change directive signed by Contractor's project manager.

10.2 Subcontractor shall not perform extra work without written authorization. Work performed without written authorization will not be compensated.

10.3 Subcontractor shall submit a detailed proposal for each requested change within seven (7) days after Contractor's request, itemizing labor, materials, equipment, and markup. Markup on Subcontractor's own work is limited to fifteen percent (15%) for overhead and profit, and markup on lower-tier work is limited to five percent (5%).

10.4 If a change results from a change order issued by Owner, Subcontractor's adjustment in price and time will not exceed the amount Contractor actually receives from Owner for that portion of the change attributable to the Subcontract Work.

ARTICLE 11 — PUBLIC WORKS AND SCHOOL SITE REQUIREMENTS

11.1 The Project is a public work under California Labor Code Section 1720. Subcontractor shall pay not less than the prevailing rates of per diem wages determined by the Director of Industrial Relations for each craft employed on the Project.

11.2 Subcontractor represents that it is, and shall remain throughout performance, registered with the Department of Industrial Relations under Labor Code Section 1725.5, and shall not engage any lower-tier subcontractor that is not so registered.

11.3 Subcontractor shall maintain and electronically submit certified payroll records in accordance with Labor Code Section 1776 and shall furnish copies to Contractor weekly.

11.4 Subcontractor shall comply with the apprenticeship requirements of Labor Code Section 1777.5 and with all applicable hours-of-work provisions of Labor Code Sections 1810 through 1815.

11.5 Subcontractor shall comply with California Education Code Section 45125.2 and Owner's campus security procedures. No employee of Subcontractor or any lower-tier subcontractor may have contact with pupils unless that employee has cleared Department of Justice fingerprinting as required by Owner.

11.6 All Subcontract Work is subject to inspection by the Inspector of Record and DSA. Subcontractor shall give Contractor at least forty-eight (48) hours' notice before any work requiring inspection is covered.

ARTICLE 12 — INSURANCE, BONDS, AND INDEMNITY

12.1 Before starting work, Subcontractor shall provide certificates of insurance showing the following minimum coverage: commercial general liability of $2,000,000 per occurrence and $4,000,000 aggregate; business automobile liability of $1,000,000 combined single limit; workers' compensation as required by California law, with employer's liability of $1,000,000; and umbrella liability of $5,000,000.

12.2 The commercial general liability, automobile, and umbrella policies must name Contractor, Owner, and the Architect as additional insureds on a primary and noncontributory basis, and must include a waiver of subrogation in favor of each additional insured.

12.3 Subcontractor shall furnish a performance bond and a payment bond, each in the amount of one hundred percent (100%) of the Subcontract Sum, issued by an admitted California surety acceptable to Contractor.

12.4 To the fullest extent permitted by law, and subject to California Civil Code Section 2782, Subcontractor shall defend, indemnify, and hold harmless Contractor, Owner, and the Architect from claims, damages, losses, and expenses, including attorneys' fees, arising out of or resulting from performance of the Subcontract Work, to the extent caused by the negligence, recklessness, or willful misconduct of Subcontractor, its lower-tier subcontractors, or anyone for whose acts they are responsible.

ARTICLE 13 — WARRANTY AND CORRECTION OF WORK

13.1 Subcontractor warrants that all materials and equipment will be new unless otherwise specified, and that the Subcontract Work will be of good quality, free from defects, and in conformance with the Subcontract Documents.

13.2 Subcontractor shall correct any defective Subcontract Work discovered within one (1) year after Owner's acceptance of the Project, or within any longer period required by the Subcontract Documents or by a manufacturer's warranty, promptly after written notice from Contractor or Owner.

13.3 Subcontractor shall deliver all manufacturers' warranties, including the five-year compressor warranty for packaged rooftop units, assigned to Owner as part of the closeout documents.

ARTICLE 14 — SAFETY AND SITE CONDUCT

14.1 Subcontractor shall comply with Contractor's site-specific safety plan, Cal/OSHA regulations, and all Owner rules governing conduct on school property, including prohibitions on tobacco, alcohol, firearms, and profanity.

14.2 Subcontractor shall designate a competent person on site at all times while its forces are working and shall attend weekly safety meetings conducted by Contractor.

14.3 Subcontractor shall keep its work areas clean and remove its debris daily. If Subcontractor fails to do so within twenty-four (24) hours after notice, Contractor may perform the cleanup and charge the cost to Subcontractor under Article 9.

ARTICLE 15 — DEFAULT AND TERMINATION

15.1 If Subcontractor fails to supply adequate workers or materials, fails to make prompt payment to its lower tiers, disregards laws or the instructions of Contractor, or otherwise materially breaches this Subcontract, Contractor may give written notice of default. If Subcontractor does not begin to cure within three (3) working days and diligently complete the cure, Contractor may terminate Subcontractor's right to proceed in whole or in part.

15.2 Upon termination for default, Contractor may complete the Subcontract Work by any reasonable means and charge Subcontractor the cost of completion in excess of the unpaid balance of the Subcontract Sum, together with Contractor's reasonable overhead and attorneys' fees.

15.3 If Owner terminates the Prime Contract for convenience, Contractor may terminate this Subcontract on written notice. Subcontractor will then be paid for Subcontract Work properly performed through the termination date, plus reasonable demobilization costs, to the extent Contractor recovers those amounts from Owner.

15.4 Termination does not relieve Subcontractor of its warranty, indemnity, or insurance obligations for Subcontract Work already performed.

ARTICLE 16 — DISPUTES

16.1 Claims by Subcontractor that involve acts or omissions of Owner will be resolved under the claims procedures of the Prime Contract and Public Contract Code Section 9204. Subcontractor shall furnish all information Contractor needs to present the claim, and Subcontractor is bound by the result to the same extent Contractor is bound.

16.2 Other disputes between Contractor and Subcontractor will first be submitted to negotiation between senior representatives of each party. If not resolved within thirty (30) days, either party may file an action in the Superior Court of California, County of Sacramento.

16.3 Pending resolution of any dispute, Subcontractor shall proceed diligently with performance of the Subcontract Work.

ARTICLE 17 — GENERAL PROVISIONS

17.1 This Subcontract is governed by the laws of the State of California, without regard to its conflict-of-laws rules.

17.2 Subcontractor shall not assign this Subcontract or subcontract any portion of the Subcontract Work without the prior written consent of Contractor.

17.3 Notices must be in writing and delivered by hand, by recognized overnight courier, or by email with confirmation of receipt, to the addresses stated in the preamble or such other address as a party designates in writing.

17.4 If any provision of this Subcontract is held invalid, the remaining provisions remain in full force and effect.

17.5 This Subcontract may be amended only by a written instrument signed by both parties. No waiver of any provision is effective unless in writing, and no waiver of one breach constitutes a waiver of any other breach.

17.6 This Subcontract may be executed in counterparts and by electronic signature, each of which is deemed an original.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of March 10, 2025.

CONTRACTOR: Harbor Point Construction, Inc. By: _____ Name: Gregory T. Albrecht Title: Vice President, Operations Date: _____

SUBCONTRACTOR: Delta Mechanical Systems, LLC By: _____ Name: Maria L. Cordero Title: Managing Member Date: _____

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Scheduled Value
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1	Mobilization, submittals, and coordination drawings	$12,000.00
2	Demolition of existing mechanical and plumbing systems	$10,000.00
3	Packaged rooftop units, furnished and set	$118,000.00
4	Sheet metal ductwork and air distribution	$96,000.00
5	Duct insulation	$22,000.00
6	Seismic bracing and supports (DSA)	$10,000.00
7	Direct digital controls	$46,000.00
8	Plumbing rough-in (domestic water, waste, and vent)	$54,000.00
9	Plumbing fixtures and finish	$38,000.00
10	Testing, adjusting, and balancing	$14,000.00
11	Closeout, training, and record drawings	$8,000.00
	Subcontract Sum	**$428,000.00**